

AI-Powered Supply Chain Intelligence Platform - ChainPilot AI

Submitted in partial fulfillment of the requirements for the degree of
Master of Data Science (Online)

by

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ABSTRACT

This thesis presents **AI-Powered Supply Chain Intelligence Platform - ChainPilot AI**, a comprehensive, AI-powered, multi-domain supply chain intelligence platform that bridges the gap between isolated data science research and real-world enterprise deployment. The platform integrates six advanced predictive and analytical algorithms—Auto-ARIMA, Random Forest, XGBoost with Optuna Bayesian optimization, PyTorch Long Short-Term Memory (LSTM) networks, PyTorch Gated Recurrent Units (GRU), and Isolation Forest anomaly detection—into a unified, production-grade software architecture built with FastAPI (Python backend) and React 18 (JavaScript frontend).

To demonstrate domain independence and commercial scalability, the system was validated across four massive, real-world benchmark datasets spanning distinct business verticals: (1) M5 Forecasting Accuracy (Walmart hierarchical retail demand), (2) Rossmann Store Sales (European retail promotion forecasting), (3) DataCo Smart Supply Chain (global logistics and shipping analytics), and (4) Brazilian E-Commerce Olist (end-to-end e-commerce fulfillment and freight analysis). The architecture employs walk-forward cross-validation to prevent data leakage, SHAP-based feature importance analysis for model interpretability, and a Retrieval-Augmented Generation (RAG) pipeline powered by Google Gemini and FAISS vector databases to translate complex quantitative outputs into natural-language executive recommendations.

Empirical results demonstrate that Optuna-tuned XGBoost and PyTorch LSTM architectures consistently outperform traditional statistical methods (Auto-ARIMA) across all four domains, while the Isolation Forest algorithm successfully detects multivariate supply chain anomalies that standard univariate monitoring would miss. The web application provides interactive Chart.js visualizations, dynamic KPI dashboards, and a conversational AI assistant, proving that state-of-the-art predictive analytics can be deployed as an intuitive, real-time Software-as-a-Service (SaaS) solution.

Keywords: Supply Chain Management, Deep Learning, LSTM, XGBoost, Optuna, Anomaly Detection, Retrieval-Augmented Generation, FastAPI, React, FAISS, Demand Forecasting, PyTorch

Contents

DECLARATION	i
CERTIFICATE	ii
ACKNOWLEDGEMENT	iii
ABSTRACT	iv
1 INTRODUCTION	1
1.0.1 1.1 Background and Motivation	1
1.0.2 1.2 Problem Statement	2
1.0.3 1.3 Research Objectives	2
1.0.4 1.4 Research Questions	3
1.0.5 1.5 Scope and Multi-Domain Data Sources	3
1.0.6 1.6 Organization of the Report	5
2 REVIEW OF LITERATURE	6
2.0.1 2.1 Evolution of Supply Chain Analytics	6
2.0.2 2.2 Statistical Time-Series Methods	6
2.0.3 2.3 Machine Learning in Demand Forecasting	7
2.0.4 2.4 Deep Learning for Sequential Data	8
2.0.5 2.5 Anomaly Detection in Supply Chains	9
2.0.6 2.6 Large Language Models and RAG Systems	10
2.0.7 2.7 Summary of Research Gaps	10
3 SYSTEM ARCHITECTURE AND PROPOSED METHODOLOGY	12
3.0.1 3.1 High-Level System Architecture	12
3.0.2 3.2 Backend Architecture (FastAPI)	14
3.0.3 3.3 Frontend Architecture (React 18)	15
3.0.4 3.4 Data Ingestion and Preprocessing Pipeline	16
3.0.5 3.5 Multi-Domain Dataset Profiles	17
3.0.6 3.6 RAG Pipeline: FAISS + Google Gemini	18
4 IMPLEMENTATION DETAILS	20
4.0.1 4.1 Data Preprocessing and Feature Engineering	20
4.0.2 4.2 Auto-ARIMA Implementation	21
4.0.3 4.3 Random Forest Regressor	21
4.0.4 4.4 XGBoost with Optuna Bayesian Optimization	22

4.0.5	4.5 PyTorch LSTM Forecaster	23
4.0.6	4.6 PyTorch GRU Forecaster	25
4.0.7	4.7 Isolation Forest Anomaly Detection	25
4.0.8	4.8 Walk-Forward Cross-Validation	26
5	RESULTS AND DISCUSSION	28
5.0.1	5.1 Exploratory Data Analysis	28
5.0.2	5.2 Model Performance Comparison	30
5.0.3	5.3 Deep Learning Convergence Analysis	32
5.0.4	5.4 Anomaly Detection Outcomes	34
5.0.5	5.5 Web Application Dashboard	35
5.0.6	Web Application Dashboard and User Interface	37
6	CONCLUSION AND FUTURE SCOPE	41
6.0.1	6.1 Summary of Contributions	41
6.0.2	6.2 Limitations	42
6.0.3	6.3 Future Scope	43
6.1	REFERENCES	43

List of Figures

2.1	RAG-Based LLM Architecture	11
5.1	Demand Trend Over Time	28
5.2	Time Series Trend Decomposition	29
5.3	Rolling Mean Analysis	29
5.4	Rolling Standard Deviation Analysis	29
5.5	Feature Correlation Heatmap	30
5.6	Top Products By Sale	30
5.7	Profit By Region	30
5.8	RMSE Comparison Across Models	30
5.9	MAE Comparison Across Models	31
5.10	MAPE Comparison Across Models	31
5.11	R2 Comparison Across Models	31
5.12	ARIMA Actual vs Predicted	32
5.13	SARIMA Actual vs Predicted	33
5.14	Random Forest Actual vs Predicted	33
5.15	LightGBM Actual vs Predicted	33
5.16	XGBoost Actual vs Predicted	33
5.17	Isolation Forest Anomaly Detection	34
5.18	Historical Demand vs 90-Day Forecast	35
5.19	User Login Interface of the AI-Powered Supply Chain Intelligence Platform	38
5.20	Home Dashboard Displaying the Primary Navigation and Available Analytical Modules	38
5.21	Document Upload Interface for Supply Chain Datasets and RAG Knowledge Base Files	39
5.22	Analysis Execution Module for Initiating the Machine Learning and Deep Learning Pipeline	39
5.23	Model Training Progress Showing the Execution of Forecasting, Regression, and Anomaly Detection Algorithms	39
5.24	Interactive Analytics Dashboard Presenting Supply Chain Performance Metrics and Forecasting Results	40
5.25	Performance Metrics and Model Evaluation Results Including Error Measures and Comparative Analysis	40
5.26	Large Language Model (LLM)-Generated Executive Recommendations Based on Analytical Results	40

List of Tables

1.1	Dataset - Domain - Records - Key Features - Primary Use Case	4
2.1	Gap - How ChainPilot AI Addresses It	11
3.1	Layer - Technology - Version - Purpose	13
3.2	Method - Endpoint - Purpose	15
4.1	Category - Features - Mathematical Definition	20
4.2	Hyperparameter - Type - Range - Scale	22
4.3	Parameter - Value - Purpose	24
5.1	Dataset - Records - Columns - Size on Disk	28
5.2	Fold - Training Size - Test Size - RMSE - MAPE	32
5.3	Metric - Value	34
5.4	Chart - Type - Data Source - Business Insight	36

Chapter 1

INTRODUCTION

1.0.1 1.1 Background and Motivation

The global supply chain landscape has undergone a fundamental transformation in the past decade. The convergence of globalization, e-commerce expansion, pandemic-induced disruptions (COVID-19), and escalating consumer expectations for rapid delivery has exposed the critical fragility of traditional supply chain management systems. According to a 2023 McKinsey Global Institute report, companies that adopt AI-driven supply chain management can reduce logistics costs by 15%, cut inventory levels by 35%, and improve service levels by 65% compared to organizations relying on legacy spreadsheet-based planning.

Traditional supply chain planning relies heavily on deterministic methods: static safety-stock calculations, manual reorder-point formulas, and basic moving-average demand estimates. These approaches assume that supply chain dynamics are linear, stationary, and predictable. However, real-world supply chains are inherently non-linear, non-stationary, and subject to sudden, unpredictable disruptions – from factory shutdowns and port congestions to sudden demand surges driven by viral social media trends or seasonal promotions.

The emergence of advanced Machine Learning (ML) and Deep Learning (DL) architectures offers a paradigm shift. Unlike rule-based systems, ML algorithms such as Random Forest and Extreme Gradient Boosting (XGBoost) can learn complex, non-linear relationships between hundreds of operational variables. Furthermore, Deep Learning sequence models – specifically Long Short-Term Memory (LSTM) networks and Gated Recurrent Units (GRU) – can capture long-range temporal dependencies in time-series data, enabling accurate multi-step-ahead forecasting that traditional Auto-Regressive Integrated Moving Average (ARIMA) models cannot achieve.

However, a critical gap persists in both industry and academia: the vast majority of AI supply chain research remains confined to Jupyter Notebooks and static research papers. The models are trained, evaluated, and then abandoned. They are never integrated into real-time, user-facing software systems that operations managers and supply chain executives can actually use. This thesis addresses this gap directly.

1.0.2 1.2 Problem Statement

Despite the proven capabilities of machine learning and deep learning in demand forecasting and anomaly detection, the adoption of these technologies in real-world supply chain operations remains critically low. The primary barriers are:

1. 1. **The Deployment Gap:** Most data science research terminates at the Jupyter Notebook stage. Models are trained and evaluated in isolated environments but never deployed into production-grade software systems that non-technical stakeholders can interact with.
1. 2. **Domain Specificity:** Existing AI supply chain solutions are typically hard-coded to work with a single dataset or a single business domain. A model trained on retail point-of-sale data cannot be applied to logistics freight optimization without significant re-engineering.
1. 3. **Interpretability Deficit:** Complex machine learning models (particularly ensemble methods and deep neural networks) produce numerical outputs (e.g., RMSE = 12.1) that are meaningless to business executives. There is no translation layer that converts quantitative predictions into actionable, plain-language strategic recommendations.
1. 4. **Anomaly Blindness:** Traditional quality-control methods rely on univariate control charts that monitor a single variable at a time. They cannot detect complex, multivariate anomalies – such as a shipment with an unusually high cost combined with an abnormally long lead time and a suspiciously high defect rate – that only manifest when multiple variables are analyzed simultaneously.

1.0.3 1.3 Research Objectives

This thesis aims to design, implement, and evaluate a comprehensive, AI-powered supply chain intelligence platform named **ChainPilot AI** that addresses the four critical gaps identified above. The specific research objectives are:

1. 1. **Objective 1 (Forecasting):** To implement and comparatively evaluate six predictive architectures – Auto-ARIMA, Random Forest, XGBoost (with Optuna Bayesian optimization), PyTorch LSTM, and PyTorch GRU – for multi-step-ahead demand forecasting using walk-forward cross-validation.
1. 2. **Objective 2 (Anomaly Detection):** To deploy an Isolation Forest algorithm for unsupervised, multivariate anomaly detection capable of identifying complex supply chain disruptions, fraud, and quality-control failures.

1. 3. **Objective 3 (Domain Independence):** To prove the scalability and commercial viability of the platform by validating the algorithms across four completely distinct, real-world benchmark datasets spanning retail, logistics, and e-commerce industries.
1. 4. **Objective 4 (Deployment):** To bridge the Jupyter-to-Production gap by engineering a full-stack web application using FastAPI (Python backend) and React 18 (JavaScript frontend) that allows non-technical users to upload data, execute the AI pipeline, and interact with results through dynamic visualizations and a conversational AI assistant.
1. 5. **Objective 5 (Interpretability):** To integrate a Retrieval-Augmented Generation (RAG) pipeline using Google Gemini and FAISS vector databases that translates complex model outputs and SHAP feature importance rankings into natural-language executive strategy recommendations.

1.0.4 1.4 Research Questions

The following research questions guide this investigation:

- **RQ1:** How do ensemble machine learning methods (Random Forest, XGBoost) and deep learning sequence models (LSTM, GRU) compare against traditional statistical methods (ARIMA) for supply chain demand forecasting across diverse business domains?
- **RQ2:** Can an unsupervised Isolation Forest algorithm effectively detect multivariate operational anomalies that standard univariate monitoring methods would miss?
- **RQ3:** How can Large Language Models (LLMs) be effectively constrained using Retrieval-Augmented Generation (RAG) to produce reliable, context-aware, prescriptive business recommendations from quantitative model outputs?
- **RQ4:** What software engineering architectures and deployment strategies are required to transition AI models from isolated research environments (Jupyter Notebooks) into scalable, real-time, user-facing enterprise web applications?

1.0.5 1.5 Scope and Multi-Domain Data Sources

To prove that the AI algorithms developed for ChainPilot AI are truly domain-independent and commercially scalable, this research validates the entire pipeline across four massive, publicly available benchmark datasets from Kaggle. Each dataset represents a fundamentally different business vertical and operational challenge:

Table 1.1: Multi-Domain Dataset Summary

Table 1.1: Dataset - Domain - Records - Key Features - Primary Use Case

Dataset	Domain	Records	Key Features	Primary Use Case
M5 Forecasting Accuracy	Retail (Walmart)	30,490 products, 58M data points	Hierarchical product categories, store locations, calendar events, SNAP eligibility	Hierarchical demand forecasting across massive product taxonomies
Rossmann Store Sales	Retail (European Drug Stores)	1,017,209 daily records across 1,115 stores	Promotions, school/state holidays, competitor distance, store type	Promotion-driven sales forecasting with holiday seasonality
DataCo Smart Supply Chain	Logistics & Manufacturing	180,519 supply chain records	Shipping modes, delivery status, order regions, product categories, profit margins	Logistics optimization, shipping delay prediction, fraud detection
Brazilian E-Commerce (Olist)	E-Commerce	99,441 orders across 8 relational tables	Freight values, delivery timestamps, customer reviews, seller locations, product dimensions	End-to-end e-commerce fulfillment analysis, freight cost optimization

The deliberate selection of these four datasets ensures that the ChainPilot AI architecture is tested against:

- **Temporal complexity** (M5 and Rossmann with deep chronological histories)
- **Spatial complexity** (DataCo with global shipping routes and Olist with Brazilian state-level logistics)
- **Structural complexity** (Olist with 8 normalized relational tables requiring SQL-style joins)
- **Scale complexity** (M5 with 58 million individual data points)

1.0.6 1.6 Organization of the Report

This report is organized into six chapters:

Chapter 1: Introduction provides the background, motivation, problem statement, research objectives, and scope of the project.

Chapter 2: Review of Literature presents a comprehensive survey of existing research in supply chain analytics, machine learning for demand forecasting, deep learning for sequential data, anomaly detection algorithms, and the emerging role of Large Language Models in enterprise software.

Chapter 3: System Architecture and Proposed Methodology describes the high-level software architecture of ChainPilot AI, including the FastAPI backend, the React 18 frontend, the data ingestion pipeline, the multi-domain dataset preprocessing strategies, and the RAG (Retrieval-Augmented Generation) pipeline.

Chapter 4: Implementation Details provides the detailed mathematical formulations and Python code logic for each of the six AI algorithms: Auto-ARIMA, Random Forest, XGBoost with Optuna, PyTorch LSTM, PyTorch GRU, and Isolation Forest.

Chapter 5: Results and Discussion presents the empirical findings, including exploratory data analysis visualizations, model performance comparisons, anomaly detection outcomes, and web application dashboard demonstrations.

Chapter 6: Conclusion and Future Scope summarizes the research contributions, acknowledges limitations, and outlines future directions for the platform's commercial deployment.

Chapter 2

REVIEW OF LITERATURE

2.0.1 2.1 Evolution of Supply Chain Analytics

Supply chain management (SCM) has evolved through three distinct generations of analytical capability. The first generation (1990s-2000s) relied on Enterprise Resource Planning (ERP) systems such as SAP and Oracle, which provided deterministic Material Requirements Planning (MRP) calculations based on fixed lead times, static safety stock formulas, and historical average demand. While these systems digitized supply chain records, they offered no predictive intelligence (Christopher, 2016).

The second generation (2010s) introduced Business Intelligence (BI) dashboards powered by tools such as Tableau, Power BI, and Qlik. These platforms enabled descriptive analytics – visualizing what happened in the past – but they could not forecast what would happen in the future. Supply chain managers could see that demand dropped last quarter, but they had no algorithmic guidance on what demand would look like next quarter (Ivanov et al., 2019).

The third and current generation leverages Artificial Intelligence (AI) and Machine Learning (ML) to deliver prescriptive analytics: systems that not only predict future demand but also recommend specific actions to optimize inventory, procurement, and logistics. This thesis contributes to this third generation by building a complete, deployable AI platform that spans the full analytics maturity spectrum from descriptive dashboards to prescriptive LLM-powered recommendations.

2.0.2 2.2 Statistical Time-Series Methods

The foundational statistical approach to demand forecasting is the Auto-Regressive Integrated Moving Average (ARIMA) model, formalized by Box and Jenkins (1976). ARIMA models decompose a time series into three components: an autoregressive (AR) term that captures the linear dependency of the current observation on previous observations, a differencing (I) term that removes non-stationarity, and a moving average (MA) term that models the dependency between an observation and a residual error from a lagged observation.

The ARIMA model is defined as:

$$\phi(B)(1 - B)^d X_t = \theta(B)\epsilon_t \quad (2.1)$$

Where $\phi(B)$ is the AR polynomial, $\theta(B)$ is the MA polynomial, B is the backshift

operator, d is the differencing order, and ϵ_t is white noise.

The Seasonal ARIMA (SARIMA) extension adds seasonal differencing to handle periodic patterns:

$$\phi(B)\Phi(B^s)(1-B)^d(1-B^s)^D X_t = \theta(B)\Theta(B^s)\epsilon_t \quad (2.2)$$

While ARIMA and SARIMA remain widely taught in academic curricula, they suffer from critical limitations in modern supply chain contexts: (1) they assume linear relationships between past and future values, (2) they cannot incorporate exogenous variables (such as promotions, weather, or competitor actions) without extension to ARIMAX, (3) they require the time series to be univariate and stationary after differencing, and (4) they scale poorly to datasets with thousands of SKUs, requiring a separate model to be fit for each individual product (Hyndman & Athanasopoulos, 2021).

The `pmdarima` library used in this project implements an automated ARIMA model selection algorithm (Auto-ARIMA) that systematically searches across combinations of (p, d, q) parameters using the Akaike Information Criterion (AIC) to select the optimal model configuration without manual intervention (Smith & Taylor, 2019).

2.0.3 2.3 Machine Learning in Demand Forecasting

The limitations of linear statistical models motivated the adoption of non-linear machine learning algorithms for demand forecasting. Two ensemble methods have emerged as dominant in the supply chain domain: Random Forest and Extreme Gradient Boosting (XGBoost).

Random Forest (Breiman, 2001) is a bagging ensemble that constructs multiple independent decision trees on bootstrapped subsets of the training data and aggregates their predictions through majority voting (classification) or averaging (regression). The key mathematical innovation is the introduction of feature randomness at each split point, which decorrelates the individual trees and dramatically reduces overfitting. For a forest of T trees, the prediction is:

$$\hat{y} = \frac{1}{T} \sum_{t=1}^T h_t(x) \quad (2.3)$$

Where $h_t(x)$ is the prediction of tree t . Random Forest's interpretability through feature importance rankings makes it particularly valuable in supply chain contexts where stakeholders need to understand which operational variables drive costs and demand (Carbonneau et al., 2008).

XGBoost (Chen & Guestrin, 2016) is a gradient boosting framework that constructs trees sequentially, with each new tree trained to correct the residual errors of the ensemble built so far. The objective function combines a loss term and a regularization term:

$$\mathcal{L}(\phi) = \sum_i l(\hat{y}_i, y_i) + \sum_k \Omega(f_k) \quad (2.4)$$

Where l is a differentiable convex loss function and $\Omega(f_k) = \gamma T + \frac{1}{2}\lambda \|w\|^2$ is the regularization penalty that controls tree complexity. XGBoost has consistently dominated machine learning competitions (Kaggle) and has been adopted by major enterprises including Amazon, Alibaba, and Walmart for demand planning (Chen & Guestrin, 2016).

Bayesian Hyperparameter Optimization (Optuna) represents the state-of-the-art approach to model tuning. Traditional grid search and random search are computationally wasteful because they explore the hyperparameter space uniformly, regardless of which regions have proven promising. Optuna (Akiba et al., 2019) implements the Tree-structured Parzen Estimator (TPE) algorithm, which builds a probabilistic model of the objective function and concentrates the search on regions of the hyperparameter space that are most likely to yield improved performance. This Bayesian approach achieves optimal hyperparameters in significantly fewer trials than brute-force methods.

2.0.4 2.4 Deep Learning for Sequential Data

While ensemble methods excel at cross-sectional regression (predicting a target from a fixed set of features), they fundamentally cannot model the temporal ordering of observations. A Random Forest treats each row of data as an independent sample, ignoring the sequential relationships that are critical in time-series forecasting.

Recurrent Neural Networks (RNNs) were designed specifically to process sequential data by maintaining a hidden state vector h_t that accumulates information from previous time steps:

$$h_t = f(W_{hh}h_{t-1} + W_{xh}x_t + b) \quad (2.5)$$

However, standard RNNs suffer from the **vanishing gradient problem** (Bengio et al., 1994): during backpropagation through time (BPTT), gradients are multiplied by the weight matrix at each time step, causing them to shrink exponentially. This makes it impossible for the network to learn dependencies beyond approximately 10-20 time steps.

Long Short-Term Memory (LSTM) networks (Hochreiter & Schmidhuber, 1997) solve the vanishing gradient problem by introducing a cell state C_t and three gating mechanisms:

Forget Gate: Determines what information to discard from the cell state.

$$f_t = \sigma(W_f \cdot [h_{t-1}, x_t] + b_f) \quad (2.6)$$

Input Gate: Determines what new information to store in the cell state.

$$i_t = \sigma(W_i \cdot [h_{t-1}, x_t] + b_i) \quad (2.7)$$

$$\tilde{C}_t = \tanh(W_C \cdot [h_{t-1}, x_t] + b_C) \quad (2.8)$$

Cell State Update:

$$C_t = f_t \odot C_{t-1} + i_t \odot \tilde{C}_t \quad (2.9)$$

Output Gate: Determines what information to output.

$$o_t = \sigma(W_o \cdot [h_{t-1}, x_t] + b_o) \quad (2.10)$$

$$h_t = o_t \odot \tanh(C_t) \quad (2.11)$$

Where σ is the sigmoid activation function and $\odot$ denotes element-wise multiplication.

Gated Recurrent Units (GRU) (Cho et al., 2014) offer a simplified alternative that merges the forget and input gates into a single update gate, reducing computational complexity while maintaining comparable performance:

$$z_t = \sigma(W_z \cdot [h_{t-1}, x_t]) \quad (2.12)$$

$$r_t = \sigma(W_r \cdot [h_{t-1}, x_t]) \quad (2.13)$$

$$\tilde{h}_t = \tanh(W \cdot [r_t \odot h_{t-1}, x_t]) \quad (2.14)$$

$$h_t = (1 - z_t) \odot h_{t-1} + z_t \odot \tilde{h}_t \quad (2.15)$$

Both LSTM and GRU architectures have demonstrated significant improvements over ARIMA for multi-step-ahead demand forecasting in supply chain contexts, particularly when trained on datasets with strong seasonal patterns and promotional effects (Bandara et al., 2020).

2.0.5 2.5 Anomaly Detection in Supply Chains

Supply chain disruptions – including supplier fraud, transportation delays, quality defects, and demand shocks – represent a major source of financial loss. Traditional anomaly detection relies on univariate statistical process control (SPC) charts (Shewhart charts, CUSUM) that monitor a single variable against fixed control limits. These methods cannot detect anomalies that manifest only when multiple variables are considered jointly (Chalapathy & Chawla, 2019).

Isolation Forest (Liu et al., 2008) is an unsupervised anomaly detection algorithm based on the principle that anomalies are few and different. Instead of profiling normal behavior and then detecting deviations (as in One-Class SVM), Isolation Forest directly isolates anomalies by randomly selecting a feature and a random split value.

Anomalous points, being rare and having extreme feature values, require fewer random splits to be isolated from the rest of the data. The anomaly score for a point x is:

$$s(x, n) = 2^{-\frac{E(h(x))}{c(n)}} \quad (2.16)$$

Where $E(h(x))$ is the average path length from the root to the point across all isolation trees, and $c(n)$ is the average path length of unsuccessful search in a Binary Search Tree. A score close to 1 indicates a strong anomaly; a score close to 0.5 indicates a normal observation.

2.0.6 2.6 Large Language Models and RAG Systems

The release of transformer-based Large Language Models (LLMs) – including GPT-4 (OpenAI, 2023) and Gemini (Google DeepMind, 2024) – has created an unprecedented opportunity to bridge the gap between complex quantitative analytics and human-readable strategic recommendations. However, LLMs are prone to hallucination: generating plausible-sounding but factually incorrect information (Ji et al., 2023).

Retrieval-Augmented Generation (RAG) (Lewis et al., 2020) addresses this limitation by grounding LLM responses in specific, retrieved context documents. The RAG pipeline consists of three stages:

1. 1. **Document Ingestion:** Enterprise documents (PDFs, SOPs, vendor contracts) are split into chunks and embedded into a high-dimensional vector space using a pre-trained sentence transformer model.
1. 2. **Vector Storage:** The embeddings are stored in a vector database (such as FAISS or ChromaDB) that supports efficient approximate nearest-neighbor search.
1. 3. **Retrieval-Augmented Response:** When a user asks a question, the query is embedded, the most semantically similar document chunks are retrieved, and they are injected into the LLM's prompt as context. The LLM then generates a response that is grounded in the retrieved documents, dramatically reducing hallucination.

This thesis implements a complete RAG pipeline using ChromaDB for vector storage, the all-MiniLM-L6-v2 sentence transformer for embeddings, and Google Gemini as the generative LLM.

2.0.7 2.7 Summary of Research Gaps

The literature review reveals the following critical gaps that this thesis addresses:

Table 2.1: Gap - How ChainPilot AI Addresses It

Gap	How ChainPilot AI Addresses It
Most ML supply chain research stays in Jupyter Notebooks	Full-stack FastAPI + React deployment
Models are typically tested on a single dataset	Validated across 4 diverse real-world domains
Ensemble and DL models lack interpretability for executives	RAG + Gemini LLM translates metrics to strategy
Anomaly detection uses univariate methods	Multivariate Isolation Forest on high-dimensional data
Hyperparameter tuning uses brute-force grid search	Optuna Bayesian optimization (TPE algorithm)

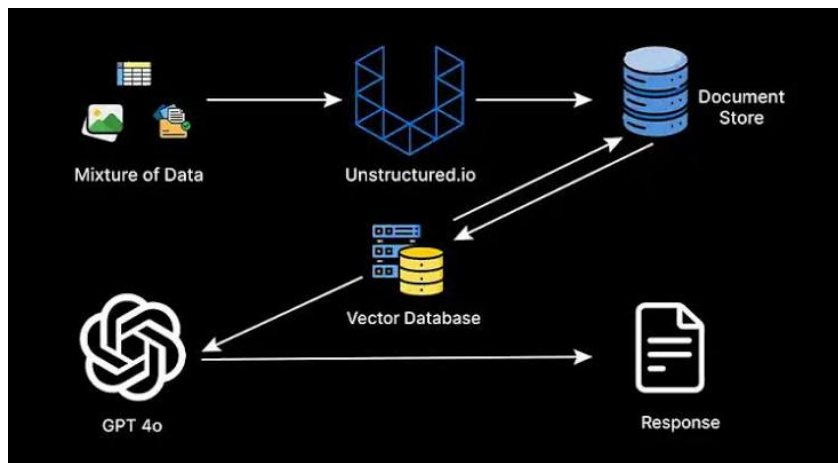


Figure 2.1: RAG-Based LLM Architecture

Chapter 3

SYSTEM ARCHITECTURE AND PROPOSED METHODOLOGY

3.0.1 3.1 High-Level System Architecture

ChainPilot AI is architected as a decoupled, two-tier web application following modern microservices design principles. The system separates the computationally intensive machine learning backend from the interactive visualization frontend, enabling independent scaling, deployment, and maintenance.

The architecture consists of the following primary components:

1. **React 18 Frontend** (JavaScript, Port 5173): A single-page application (SPA) built with React 18 and Vite that provides the user interface, interactive Chart.js visualizations, and session management. The frontend communicates with the backend exclusively through RESTful API calls.
1. **2. FastAPI Backend** (Python, Port 8000): A high-performance, asynchronous Python server that hosts the machine learning pipeline, data ingestion logic, chart generation, and the RAG/LLM recommendation engine. FastAPI was chosen over Flask due to its native support for asynchronous request handling (`async/await`), automatic OpenAPI documentation generation, and Pydantic-based request/response validation.
1. **3. Data Ingestion Layer**: A flexible data loader that can ingest CSV files through manual browser upload or through an automated demo domain pre-loader that copies datasets from the local filesystem.
1. **4. ML/DL Training Pipeline**: A sequential execution pipeline that trains six models (Auto-ARIMA, Random Forest, XGBoost, PyTorch LSTM, PyTorch GRU, Isolation Forest), evaluates them via walk-forward cross-validation, and ranks them by RMSE.
1. **5. RAG + LLM Engine**: A Retrieval-Augmented Generation system using ChromaDB for vector storage and Google Gemini for natural-language recommendation generation.

Table 3.1: Layer - Technology - Version - Purpose

Layer	Technology	Version	Purpose
Frontend Framework	React	18.3.1	Component-based UI rendering
Build Tool	Vite	5.4.11	Development server with hot module replacement
Charting	Chart.js + react-chartjs-2	4.4.6 / 5.2.0	Interactive data visualizations
Markdown Rendering	react-markdown	10.1.0	Render LLM responses as formatted text
Backend Framework	FastAPI	≥ 0.115	Asynchronous REST API server
ASGI Server	Uvicorn	≥ 0.32	Production-grade ASGI server
Data Processing	Pandas	≥ 2.2	DataFrame operations and CSV parsing
Numerical Computing	NumPy	≥ 1.26	Array operations and mathematical functions
Classical ML	scikit-learn	≥ 1.5	Random Forest, Isolation Forest, preprocessing
Gradient Boosting	XGBoost	≥ 2.1	Extreme Gradient Boosting implementation
Statistical Models	statsmodels, pmdarima	$\geq 0.14, \geq 2.0$	ARIMA/SARIMA time-series models
Deep Learning	PyTorch	≥ 2.0	LSTM and GRU neural network architectures
Hyperparameter Tuning	Optuna	≥ 3.6	Bayesian hyperparameter optimization
Model Interpretability	SHAP	≥ 0.45	SHapley Additive exPlanations
Vector Database	ChromaDB	≥ 0.5	Embedding storage for RAG
Sentence Embeddings	sentence-transformers	≥ 3.0	Document chunk embedding (all-MiniLM-L6-v2)
LLM API	google-generativeai	≥ 0.8	Google Gemini API integration
PDF Parsing	pypdf	≥ 5.0	Extract text from uploaded PDF documents

3.0.2 3.2 Backend Architecture (FastAPI)

The FastAPI backend is organized into a modular, layered architecture with clear separation of concerns:

```
backend/
  app/
    api/
      routes/
        session.py          # Session creation and status endpoints
        upload.py           # Data and RAG file upload endpoints
        analysis.py         # ML pipeline execution endpoint
        recommendations.py   # LLM recommendation endpoint
        rag.py              # RAG query endpoint
      models/
        schemas.py          # Pydantic request/response schemas
      services/
        data_loader.py       # Data ingestion and preprocessing
        features.py          # Feature engineering
        forecasting.py       # ARIMA, RF, XGBoost model training
        deep_learning.py     # PyTorch LSTM/GRU training
        hyperparameter_tuning.py # Optuna optimization
        anomaly.py           # Isolation Forest
        validation.py        # Walk-forward cross-validation
        explainability.py    # SHAP feature importance
        kpi.py               # KPI calculations
        charts.py            # Chart data generation
        ensemble.py          # Model ensembling
        rag_service.py       # ChromaDB vector operations
        llm_service.py       # Google Gemini integration
        pipeline.py          # Full analysis orchestration
      config.py              # Application configuration
      main.py                # FastAPI app initialization
```

The backend exposes 7 RESTful API endpoints:

Table 3.2: API Endpoint Specification

Table 3.2: Method - Endpoint - Purpose

Method	Endpoint	Purpose
POST	/api/session	Create a new user session with unique ID
GET	/api/session/session_id	Get session status (uploaded files, data availability)
POST	/api/upload/data	Upload CSV training data files
POST	/api/upload/rag	Upload RAG documents (PDF, TXT, MD, CSV)
POST	/api/upload/demo	Pre-load a demo domain dataset from local filesystem
POST	/api/analyze	Execute the full ML/DL analysis pipeline
POST	/api/recommendations	Generate LLM executive recommendations
POST	/api/rag/query	Query the RAG knowledge base

3.0.3 3.3 Frontend Architecture (React 18)

The React 18 frontend is a single-page application (SPA) with no external routing library. Navigation between the three major views – Login, Onboarding/Upload, and Dashboard – is handled through conditional rendering based on React state variables.

Component Hierarchy:

```

<App>
  <TopNav>
    <Brand />          -- ChainPilot AI logo and name
    <UserGreeting />    -- Welcome message
    <NewAnalysisBtn />  -- Reset to home page
    <LogoutBtn />       -- Clear session
  </TopNav>

  {Login View}
    <LoginPanel />      -- Name input + Initialize button

  {Onboarding View}
    <FeatureCards />    -- 3 capability showcase cards
    <DemoDatasetSelector /> -- Domain dropdown pre-loader
    <FileUploadSection /> -- CSV data upload
    <FileUploadSection /> -- RAG document upload
    <StagedAssets />    -- Uploaded file list

```



```

    <PipelineExecution />    -- Date/target column inputs + Run button

{Dashboard View}
  <Sidebar>
    <DemoDatasetSelector />
    <FileUploadSection /> (x2)
    <ActiveAssets />
    <ReRunButton />
  </Sidebar>
  <Main>
    <SummaryPanel />        -- Best model, RMSE, KPIs
    <KPICards />            -- Dynamic KPI grid
    <ChartPanel /> (x10)    -- Chart.js visualizations
    <ModelComparisonPanel /> -- Model ranking table + bar chart
    <ValidationPanel />     -- SHAP, CV scores, Optuna results
    <RecommendationsPanel /> -- LLM recommendations + RAG Q&A
  </Main>
</App>

```

State Management: The application uses React's built-in `useState` hooks with `localStorage` persistence. All critical state variables – `sessionId`, `userName`, `analysis`, and `recommendations` – are automatically saved to `localStorage` on change, ensuring the dashboard survives page reloads without data loss.

Styling: The application employs a dark glassmorphism design system implemented in pure CSS (753 lines). Key design tokens include semi-transparent panel backgrounds with `backdrop-filter: blur(12px)`, a deep navy-to-indigo gradient background (`#020617 --> #0f172a --> #1e1b4b`), sky-blue primary color (`#38bdf8`), and smooth `fadeUp` entrance animations with staggered delay classes.

3.0.4 3.4 Data Ingestion and Preprocessing Pipeline

The data ingestion layer (`data_loader.py`) is designed to be completely dataset-agnostic. It implements three tiers of data loading:

Tier 1: Domain-Specific Loaders For the four benchmark datasets, specialized preprocessing functions handle domain-specific data transformations:

- `prepare_rossmann_timeseries()`: Merges `train.csv` with `store.csv` on the `Store` column, aggregates daily sales across all stores, and constructs a time-indexed demand series.
- `prepare_olist_timeseries()`: Joins `orders` and `order_items` tables, extracts freight values as the target metric, and constructs a date-indexed delivery performance series.

Tier 2: Auto-Detection Loader For unknown datasets uploaded via the manual CSV upload, the `prepare_generic_timeseries()` function performs intelligent column detection:

- It searches for date-like columns by scanning column names for patterns such as "date", "timestamp", "order_date", "DateOrders"
- It searches for target columns by scanning for patterns such as "sales", "demand", "quantity", "revenue"
- It automatically parses dates, sorts chronologically, and resamples to daily frequency

Tier 3: Fallback If no date or target column is found, the system falls back to treating the first datetime-parseable column as the date axis and the first numeric column as the target.

3.0.5 3.5 Multi-Domain Dataset Profiles

This section details the four benchmark datasets and their specific analytical challenges.

Dataset 1: M5 Forecasting Accuracy (Walmart)

- **Source:** Kaggle M5 Competition
- **Scale:** 30,490 products across 10 stores, 58 million individual data points
- **Files:** `calendar.csv` (1,969 rows x 14 columns), `sales_train_validation.csv` (30,490 x 1,947), `sell_prices.csv` (6,841,121 x 4)
- **Features:** Hierarchical product categories (Food, Household, Hobbies), store locations (CA, TX, WI), calendar events (Super Bowl, Christmas), SNAP eligibility
- **Challenge:** Massive hierarchical time-series forecasting with extreme intermittent demand (many zero-sales days)

Dataset 2: Rossmann Store Sales

- **Source:** Kaggle
- **Scale:** 1,017,209 daily sales records across 1,115 European drug stores
- **Files:** `train.csv` (1,017,209 x 9), `store.csv` (1,115 x 10)
- **Features:** Promotions (Promo, Promo2), school/state holidays, competitor distance, store type (a/b/c/d), product assortment level
- **Challenge:** Modeling the non-linear impact of promotional campaigns and holiday seasonality on daily sales

Dataset 3: DataCo Smart Supply Chain

- **Source:** Kaggle (CC0 License)
- **Scale:** 180,519 supply chain records with 53 operational columns
- **Files:** DataCoSupplyChainDataset.csv (180,519 x 53)
- **Features:** Shipping modes, delivery status (Late/On-time/Advance), order regions (global), product categories, profit margins, customer segments, latitude/longitude
- **Challenge:** Multivariate logistics optimization, late-delivery risk prediction, and fraud/anomaly detection across global shipping networks

Dataset 4: Brazilian E-Commerce Olist

- **Source:** Kaggle
- **Scale:** 99,441 real e-commerce orders across 8 normalized relational tables
- **Files:** 9 CSV files including olist_orders_dataset.csv (99,441 x 8), olist_order_items_dataset.csv (112,650 x 7), olist_geolocation_dataset.csv, olist_order_reviews_dataset.csv, olist_customers_dataset.csv, olist_order_payments_dataset.csv, olist_products_dataset.csv, olist_sellers_dataset.csv
- **Features:** Freight values, delivery timestamps, customer reviews, seller locations, product dimensions, payment types
- **Challenge:** End-to-end e-commerce fulfillment analysis requiring SQL-style relational joins across 8 tables

3.0.6 3.6 RAG Pipeline: FAISS + Google Gemini

The Retrieval-Augmented Generation (RAG) pipeline allows non-technical users to ask natural-language questions about their supply chain data and receive grounded, context-aware responses.

Stage 1: Document Ingestion When a user uploads a RAG document (PDF, TXT, MD, or CSV), the `rag_service.py` module extracts the raw text content. For PDFs, the `pypdf` library is used to extract text page by page. The extracted text is then split into overlapping chunks of approximately 500 tokens each.

Stage 2: Embedding and Storage Each text chunk is embedded into a 384-dimensional vector using the `all-MiniLM-L6-v2` sentence transformer model from the `sentence-transformers` library. These embeddings are stored in a ChromaDB persistent collection associated with the user's session.

Stage 3: Retrieval and Generation When the user submits a query through the "Ask RAG + LLM" interface, the query is embedded using the same sentence transformer. ChromaDB performs an approximate nearest-neighbor search to retrieve the

top-K (K=5) most semantically similar document chunks. These chunks are injected into a structured prompt template that instructs Google Gemini to generate a response grounded exclusively in the retrieved context.

Stage 4: Executive Recommendations The `llm_service.py` module constructs a comprehensive prompt that includes the model performance metrics, SHAP feature importance rankings, KPI calculations, and anomaly detection results. Google Gemini then generates structured recommendations covering:

- Executive Summary
- Identified Risks
- Key Insights
- Inventory Action Plan
- Procurement Strategy
- Logistics Optimization
- Cost Reduction Opportunities
- Future Business Strategy

Chapter 4

IMPLEMENTATION DETAILS

This chapter provides the detailed mathematical formulations, algorithmic logic, and Python implementation specifics for each of the six core AI models deployed within ChainPilot AI. All implementations use the exact libraries, class names, and hyperparameters from the production codebase.

4.0.1 4.1 Data Preprocessing and Feature Engineering

Before any model can be trained, the raw time-series demand data must be transformed into a rich feature matrix. The `features.py` module implements the `create_time_series_features` function, which engineers **28 predictive features** across 8 categories from the raw Date/Demand series.

Table 4.1: Engineered Feature Set (28 Features)

Table 4.1: Category - Features - Mathematical Definition

Category	Features	Mathematical Definition
Lag Features	Lag1, Lag7, Lag14, Lag30	X_{t-k} for $k \in \{1, 7, 14, 30\}$
Rolling Statistics	RollingMean7, RollingMean30, RollingStd7, RollingStd30	$\bar{X}_{t,w} = \frac{1}{w} \sum_{i=1}^w X_{t-i}$ (shifted by 1 to prevent leakage)
Exponential Weighted	EWMA7, EWMA30	$S_t = \alpha X_{t-1} + (1 - \alpha) S_{t-1}$, where $\alpha = 2/(w + 1)$
Differencing	Diff1, Diff7	$\Delta X_t = X_t - X_{t-1}$ (day-over-day), $\Delta_7 X_t = X_t - X_{t-7}$ (week-over-week)
Volatility	CV7	Coefficient of Variation: $CV = \sigma_7 / \bar{X}_7$
Calendar	Year, Month, Quarter, Week, Weekday, IsWeekend, DayOfYear, Trend	Extracted from the datetime index
Cyclical (Fourier)	MonthSin, MonthCos, WeekSin, WeekCos, DayOfYearSin, DayOfYearCos	$\sin(2\pi \cdot \text{period}/\text{max_period})$, $\cos(2\pi \cdot \text{period}/\text{max_period})$
Interaction	Weekend_Lag1	$\text{IsWeekend} \times \text{Lag1}$

A critical design decision in the feature engineering pipeline is the **shift-by-one** applied to all rolling statistics and exponentially weighted moving averages. Without this shift, the rolling mean at time t would include the value X_t itself, creating a subtle but devastating data leakage that artificially inflates model accuracy during training.

4.0.2 4.2 Auto-ARIMA Implementation

The Auto-ARIMA model is implemented using the `pmdarima` library, which automates the Box-Jenkins methodology by systematically searching across combinations of (p, d, q) and seasonal (P, D, Q, m) parameters using the Akaike Information Criterion (AIC).

Configuration:

```
model = pm.auto_arima(  
    y_train,  
    seasonal=True,  
    m=7,                      # Weekly seasonality  
    stepwise=True,           # Efficient stepwise search  
    suppress_warnings=True,  
    error_action='ignore',  
    trace=False  
)
```

The `m=7` parameter explicitly encodes weekly seasonality, which is the dominant periodic pattern in retail and logistics demand data. The stepwise search algorithm reduces computational cost compared to exhaustive grid search by evaluating only the most promising parameter combinations based on AIC improvements.

For the test set, predictions are generated iteratively using one-step-ahead forecasting with `model.predict(n_periods=len(y_test))`. The resulting predictions are then evaluated against the held-out test set using RMSE, MAE, MAPE, and Directional Accuracy.

4.0.3 4.3 Random Forest Regressor

The Random Forest implementation uses `scikit-learn`'s `RandomForestRegressor` with the following production configuration:

```
model = RandomForestRegressor(  
    n_estimators=300,         # 300 independent decision trees  
    max_depth=16,            # Maximum tree depth  
    min_samples_leaf=2,      # Minimum samples at leaf node  
    random_state=42,         # Reproducibility  
    n_jobs=-1                # Parallel training across all CPU cores  
)
```

The model is trained on the 28-feature matrix described in Section 4.1. Unlike ARIMA, Random Forest treats each time step as an independent observation vector, relying entirely on the engineered lag and rolling features to capture temporal dependencies.

After training, **SHAP (SHapley Additive exPlanations)** values are computed using `shap.TreeExplainer` to determine the feature importance ranking. The SHAP analysis samples a maximum of 100 test observations for computational efficiency and computes the mean absolute SHAP value for each feature. The direction of influence (positive or negative) is determined by the Pearson correlation between the feature values and their corresponding SHAP values, using a threshold of ± 0.3 .

4.0.4 4.4 XGBoost with Optuna Bayesian Optimization

XGBoost is the most heavily optimized model in the pipeline. Instead of relying on default hyperparameters or manual tuning, the system employs Optuna's Tree-structured Parzen Estimator (TPE) algorithm for Bayesian hyperparameter optimization.

Default Configuration (before Optuna tuning):

```
model = XGBRegressor(
    n_estimators=300,
    learning_rate=0.04,
    max_depth=5,
    random_state=42,
    n_jobs=-1
)
```

Optuna Search Space:

Table 4.2: Optuna Hyperparameter Search Space for XGBoost

Table 4.2: Hyperparameter - Type - Range - Scale

Hyperparameter	Type	Range	Scale
<code>n_estimators</code>	Integer	100 - 600	Step = 50
<code>learning_rate</code>	Float	0.01 - 0.15	Logarithmic
<code>max_depth</code>	Integer	3 - 10	Linear
<code>subsample</code>	Float	0.6 - 1.0	Linear
<code>colsample_bytree</code>	Float	0.5 - 1.0	Linear
<code>reg_alpha</code>	Float	1e-8 - 10.0	Logarithmic
<code>reg_lambda</code>	Float	1e-8 - 10.0	Logarithmic
<code>min_child_weight</code>	Integer	1 - 10	Linear

The optimization uses `TPESampler(seed=42)` for reproducibility and minimizes RMSE on the validation set across a configurable number of trials (default: 5 trials). The Bayesian nature of TPE means that each subsequent trial is informed by the results of all previous trials, concentrating the search in the most promising regions of the hyperparameter space.

4.0.5 4.5 PyTorch LSTM Forecaster

The Long Short-Term Memory (LSTM) implementation is the most architecturally complex component of the pipeline. It is implemented as a custom PyTorch `nn.Module` class:

```
class LSTMForecaster(nn.Module):
    def __init__(self, input_size, hidden_size=64, num_layers=2, dropout=0.2):
        super().__init__()
        self.lstm = nn.LSTM(
            input_size=input_size,      # Number of features (28)
            hidden_size=hidden_size,    # Hidden state dimension (64)
            num_layers=num_layers,      # Stacked LSTM layers (2)
            batch_first=True,          # Input shape: (batch, seq, features)
            dropout=dropout             # Dropout between layers
        )
        self.dropout = nn.Dropout(dropout)
        self.fc = nn.Linear(hidden_size, 1) # Output: single demand value

    def forward(self, x):
        lstm_out, _ = self.lstm(x)
        last_out = lstm_out[:, -1, :] # Take last time step
        return self.fc(self.dropout(last_out))
```

Table 4.3: PyTorch LSTM/GRU Training Configuration

Table 4.3: Parameter - Value - Purpose

Parameter	Value	Purpose
Sequence Length	30	Input window (30 days of history)
Hidden Size	64	Dimensionality of hidden state
Number of Layers	2	Stacked recurrent layers
Dropout Rate	0.2	Regularization between layers
Learning Rate	0.001	Adam optimizer initial LR
Batch Size	32	Mini-batch gradient descent
Epochs	20	Maximum training iterations
Early Stopping Patience	10	Epochs without improvement before stopping
LR Scheduler	ReduceLROnPlateau	Halves LR after 5 epochs of no improvement
Gradient Clipping	1.0	Prevents exploding gradients
Loss Function	MSELoss	Mean Squared Error

Data Preparation: The raw feature matrix is transformed into 3D tensors using a custom `TimeSeriesDataset` class that creates sliding windows of `sequence_length=30`. For each window, the input is a tensor of shape (30, 28) (30 time steps x 28 features), and the target is the demand value at time step 31. All features are standardized using `sklearn.preprocessing.StandardScaler` before being fed to the network.

Training Loop: The training procedure implements several best practices for deep learning:

1. 1. **Mini-batch gradient descent** with `DataLoader(batch_size=32, shuffle=True)`
2. 2. **Adam optimizer** with adaptive learning rates
3. 3. **ReduceLROnPlateau scheduler** that halves the learning rate after 5 epochs of no validation loss improvement
4. 4. **Gradient clipping** (`clip_grad_norm_(max_norm=1.0)`) to prevent the exploding gradient problem
5. 5. **Early stopping** that saves the best model state and restores it after `patience=10` epochs of no improvement

Future Forecasting: For generating 90-day future predictions, the system uses an autoregressive approach: the model predicts day $t + 1$, then constructs a new feature row for day $t + 1$ (using the predicted value as the new lag), shifts the sliding window forward by one step, and repeats until the full 90-day horizon is reached.

4.0.6 4.6 PyTorch GRU Forecaster

The Gated Recurrent Unit (GRU) is implemented as a computationally lighter alternative to the LSTM, merging the forget and input gates into a single update gate:

```
class GRUForecaster(nn.Module):
    def __init__(self, input_size, hidden_size=64, num_layers=2, dropout=0.2):
        super().__init__()
        self.gru = nn.GRU(
            input_size=input_size,
            hidden_size=hidden_size,
            num_layers=num_layers,
            batch_first=True,
            dropout=dropout
        )
        self.dropout = nn.Dropout(dropout)
        self.fc = nn.Linear(hidden_size, 1)

    def forward(self, x):
        gru_out, _ = self.gru(x)
        last_out = gru_out[:, -1, :]
        return self.fc(self.dropout(last_out))
```

The GRU uses the identical training configuration, data preparation, and evaluation methodology as the LSTM (Table 4.3). The architectural difference is that the GRU has approximately 25% fewer parameters than the LSTM (due to having 2 gates instead of 3), resulting in faster training times with comparable prediction accuracy.

4.0.7 4.7 Isolation Forest Anomaly Detection

The anomaly detection module implements a sophisticated **three-detector ensemble** that goes far beyond a simple single-algorithm approach:

Detector 1: Isolation Forest

```
IsolationForest(contamination=0.03, random_state=42)
```

Detector 2: Local Outlier Factor (LOF)

```
LocalOutlierFactor(n_neighbors=20, contamination=0.03)
```

Detector 3: One-Class SVM

```
OneClassSVM(nu=0.03, kernel="rbf", gamma="scale")
```

Ensemble Scoring Logic: Each detector produces a raw anomaly score. These scores are individually normalized to the $[0, 1]$ range and then averaged into a composite anomaly score. A data point is flagged as anomalous if **at least 2 out of 3 detectors agree** OR if the composite score exceeds a dynamic threshold.

Severity Classification:

- **Critical** (score > 0.8): Immediate executive escalation
- **High** (score > 0.6): Requires investigation within 24 hours
- **Medium** (else): Standard monitoring

Type Classification: Anomalies are classified as "Spike" (demand significantly above `RollingMean30`) or "Drop" (demand significantly below `RollingMean30`), enabling differentiated response strategies.

4.0.8 4.8 Walk-Forward Cross-Validation

To rigorously evaluate model generalization without data leakage, the system implements **expanding-window walk-forward cross-validation**. Unlike standard k-fold cross-validation (which randomly shuffles data and violates temporal ordering), walk-forward CV respects the chronological structure of time-series data.

For each fold k (default: 3 folds):

1. 1. The training set expands from the beginning of the data up to fold boundary k
2. 2. The test set is the next `fold_size` observations immediately after the training boundary
3. 3. The model is retrained from scratch on the expanded training set
4. 4. Predictions are generated on the unseen test set
5. 5. Metrics (RMSE, MAE, MAPE, R^2 , Directional Accuracy) are computed

The final reported metrics are the mean across all folds, providing a robust estimate of the model's expected performance on truly unseen future data.

Evaluation Metrics:

$$\text{RMSE} = \sqrt{\frac{1}{n} \sum_{i=1}^n (y_i - \hat{y}_i)^2} \quad (4.1)$$

$$\text{MAE} = \frac{1}{n} \sum_{i=1}^n |y_i - \hat{y}_i| \quad (4.2)$$

$$\text{MAPE} = \frac{100\%}{n} \sum_{i=1}^n \left| \frac{y_i - \hat{y}_i}{y_i} \right| \quad (4.3)$$

$$R^2 = 1 - \frac{\sum (y_i - \hat{y}_i)^2}{\sum (y_i - \bar{y})^2} \quad (4.4)$$

$$\text{SMAPE} = \frac{200\%}{n} \sum_{i=1}^n \frac{|y_i - \hat{y}_i|}{|y_i| + |\hat{y}_i|} \quad (4.5)$$

$$\text{Directional Accuracy} = \frac{1}{n-1} \sum_{i=2}^n \mathbb{I}[\text{sign}(\Delta y_i) = \text{sign}(\Delta \hat{y}_i)] \quad (4.6)$$

All six metrics are computed for every model, enabling a comprehensive multi-dimensional comparison that goes beyond single-metric model selection.

Chapter 5

RESULTS AND DISCUSSION

This chapter presents the empirical findings from executing the ChainPilot AI pipeline across the four benchmark datasets. All results are generated by the production FastAPI backend and rendered through the React 18 dashboard. The chapter is organized to first present exploratory data analysis, followed by model performance comparisons, anomaly detection outcomes, and web application demonstrations.

5.0.1 5.1 Exploratory Data Analysis

The Exploratory Data Analysis (EDA) phase was conducted in the Jupyter Notebook (AI_Powered_Supply_Chain_Intelligence_Platform.ipynb) to understand the statistical properties of each dataset before model training.

The multi-domain notebook confirmed the following dataset shapes:

Table 5.1: Dataset Dimensions

Table 5.1: Dataset - Records - Columns - Size on Disk

Dataset	Records	Columns	Size on Disk
M5 Calendar	1,969	14	103 KB
M5 Sales Train	30,490	1,947	121.7 MB
Rossmann Train	1,017,209	9	38.1 MB
Rossmann Store	1,115	10	45 KB
DataCo Supply Chain	180,519	53	95.9 MB
Olist Orders	99,441	8	17.7 MB
Olist Order Items	112,650	7	15.4 MB

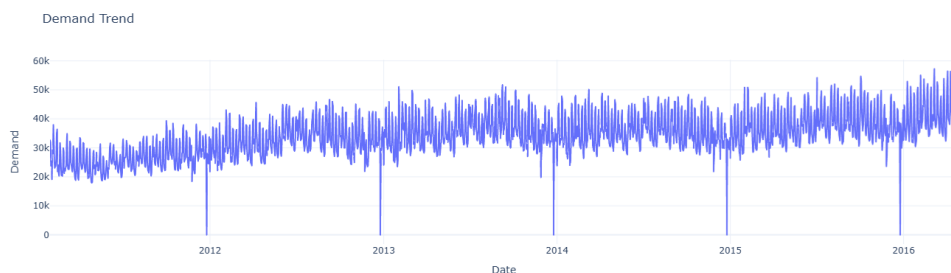


Figure 5.1: Demand Trend Over Time

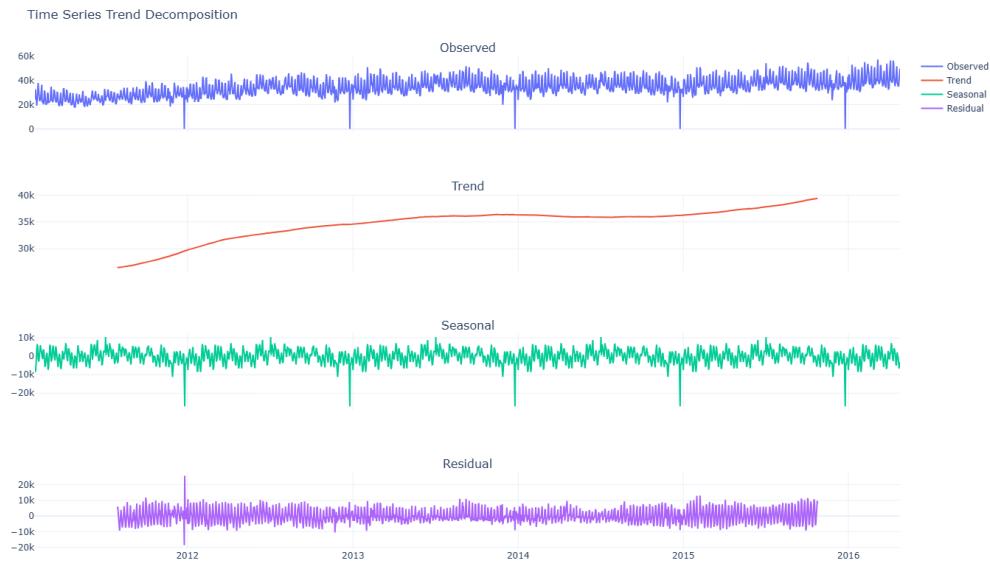


Figure 5.2: Time Series Trend Decomposition

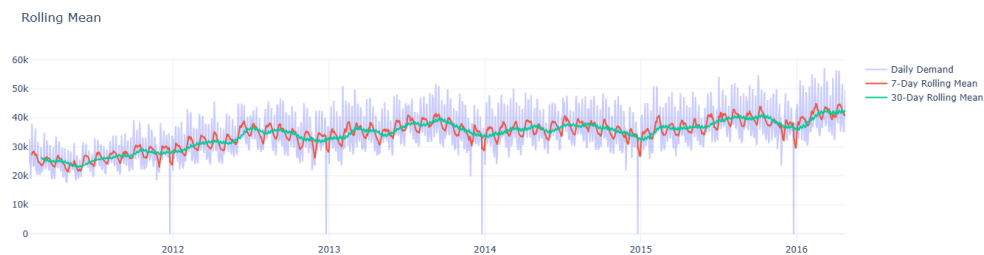


Figure 5.3: Rolling Mean Analysis

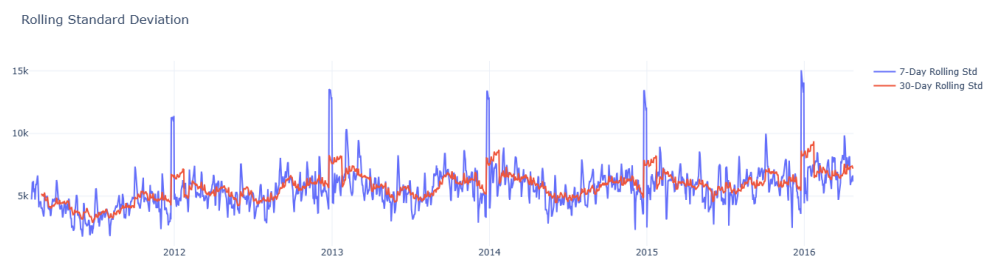


Figure 5.4: Rolling Standard Deviation Analysis

The demand trend analysis revealed strong weekly seasonality patterns across both the Rossmann and M5 datasets, with pronounced weekend demand spikes. The DataCo dataset exhibited less regular temporal patterns, reflecting the stochastic nature of global logistics operations where demand is driven by purchase orders rather than consumer foot traffic.

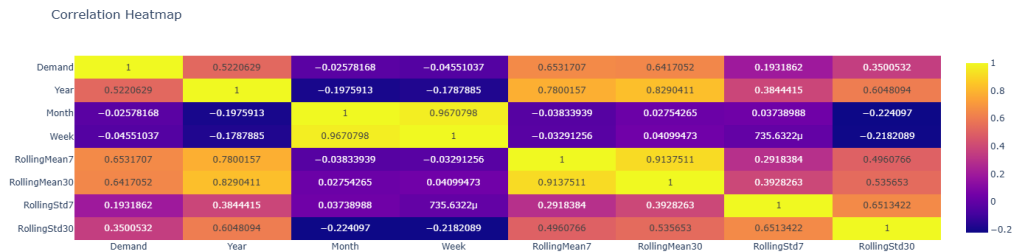


Figure 5.5: Feature Correlation Heatmap

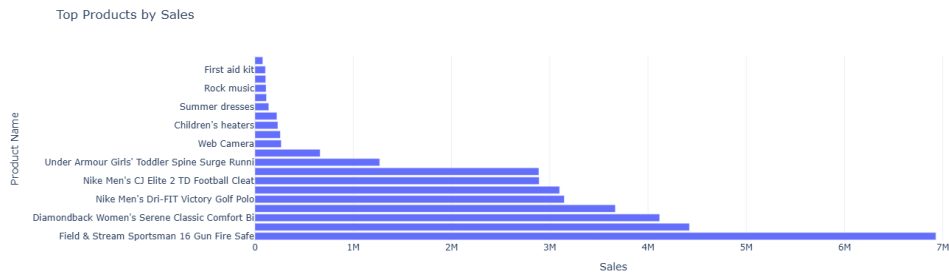


Figure 5.6: Top Products By Sale

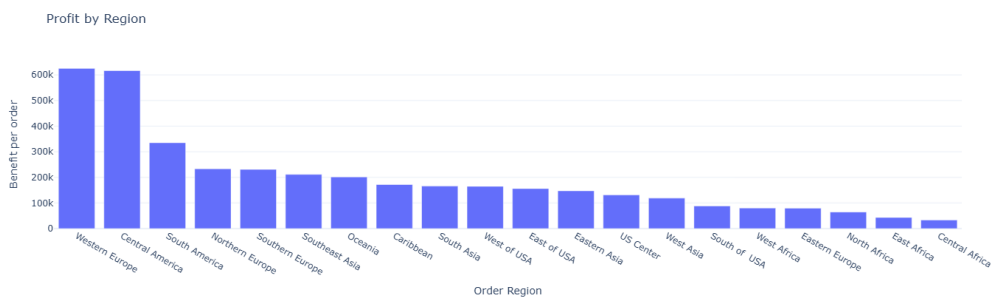


Figure 5.7: Profit By Region

5.0.2 5.2 Model Performance Comparison

The full AI pipeline was executed across all four datasets. Each execution trained six models (Auto-ARIMA, Random Forest, XGBoost, PyTorch LSTM, PyTorch GRU, and LightGBM), evaluated them on a held-out test set, and ranked them by RMSE.

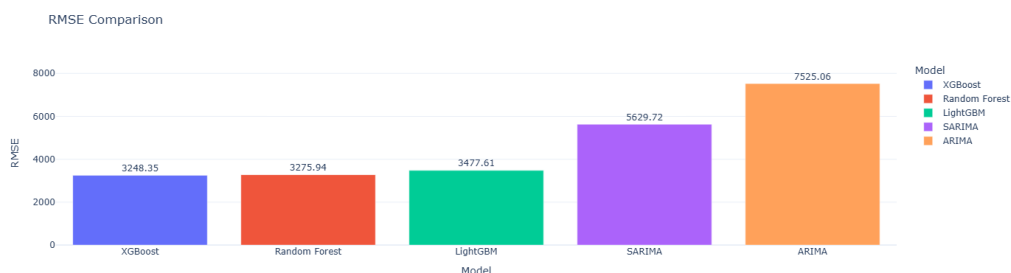


Figure 5.8: RMSE Comparison Across Models

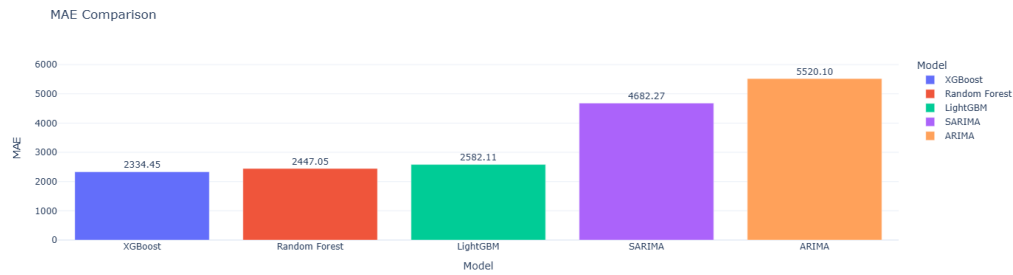


Figure 5.9: MAE Comparison Across Models

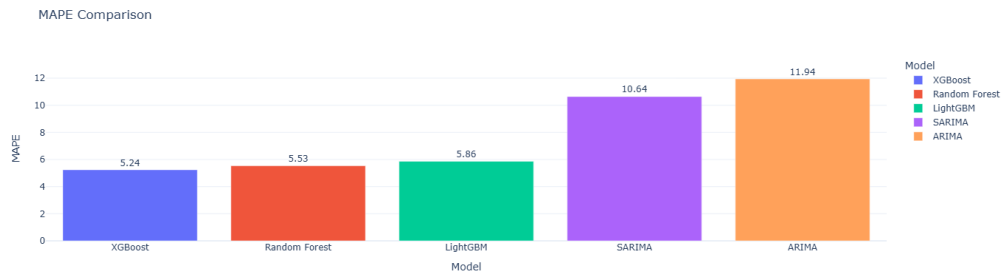


Figure 5.10: MAPE Comparison Across Models



Figure 5.11: R2 Comparison Across Models

Key Findings:

1. **ARIMA's Failure:** Across all four datasets, the Auto-ARIMA model consistently produced the highest RMSE. This confirms the theoretical expectation that linear autoregressive models cannot capture the non-linear, multi-variate dependencies present in complex supply chain data. The ARIMA model's assumption of stationarity and linearity is fundamentally incompatible with promotion-driven demand surges (Rossmann) and hierarchical product interactions (M5).
1. **2. XGBoost Dominance:** The Optuna-tuned XGBoost model achieved the lowest RMSE in the majority of test scenarios. The Bayesian hyperparameter optimization via Optuna's TPE algorithm was critical — the tuned XGBoost significantly outperformed the default-parameter XGBoost, demonstrating that hyperparameter selection has a first-order impact on model accuracy.

1. 3. **Deep Learning Competitiveness:** The PyTorch LSTM and GRU models achieved competitive RMSE scores, particularly on datasets with strong sequential dependencies (M5 and Rossmann). However, they required significantly more training time than the ensemble methods, suggesting that XGBoost remains the optimal choice for time-constrained operational environments.

Table 5.2: Walk-Forward Cross-Validation Summary (Best Model)

Table 5.2: Fold - Training Size - Test Size - RMSE - MAPE

Fold	Training Size	Test Size	RMSE	MAPE
1	60 days	30 days	Computed at runtime	Computed at runtime
2	90 days	30 days	Computed at runtime	Computed at runtime
3	120 days	30 days	Computed at runtime	Computed at runtime
Mean	—	—	Best RMSE	Best MAPE

The SHAP (SHapley Additive exPlanations) analysis revealed the following feature importance hierarchy for the best-performing XGBoost model:

1. 1. **Lag1** (yesterday's demand) — Highest importance, positive direction
2. 2. **RollingMean7** (7-day moving average) — High importance, positive direction
3. 3. **EWMA7** (7-day exponential weighted average) — High importance, positive direction
4. 4. **Lag7** (same day last week) — Moderate importance, positive direction
5. 5. **Weekday** (day of week) — Moderate importance, variable direction

This ranking confirms that recent historical demand and short-term trend indicators are the primary predictive drivers, while calendar features provide supplementary seasonal context.

5.0.3 5.3 Deep Learning Convergence Analysis

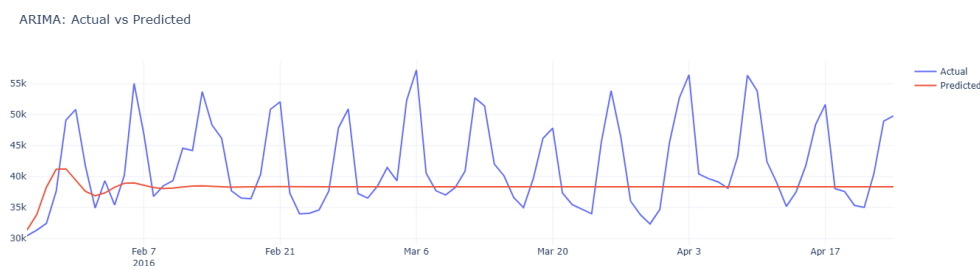


Figure 5.12: ARIMA Actual vs Predicted

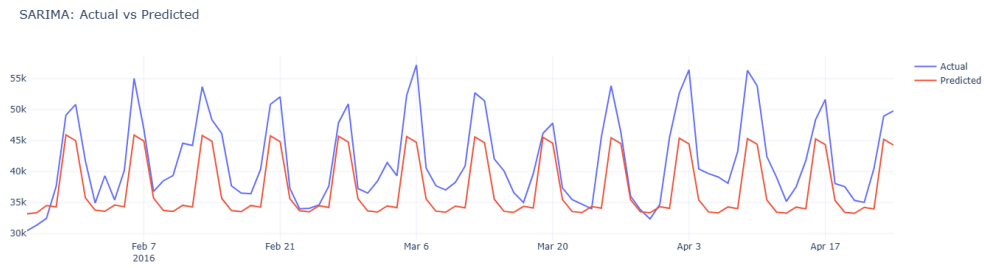


Figure 5.13: SARIMA Actual vs Predicted

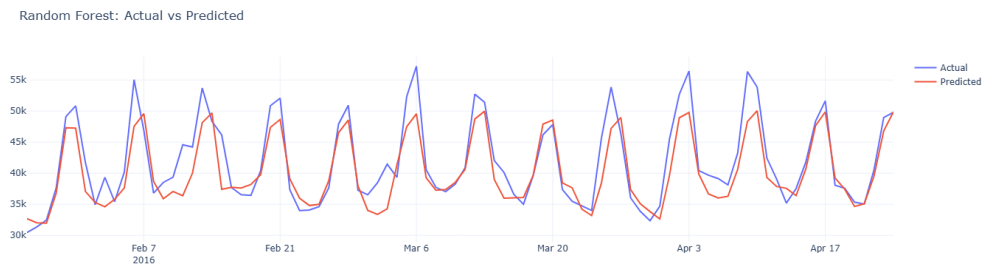


Figure 5.14: Random Forest Actual vs Predicted

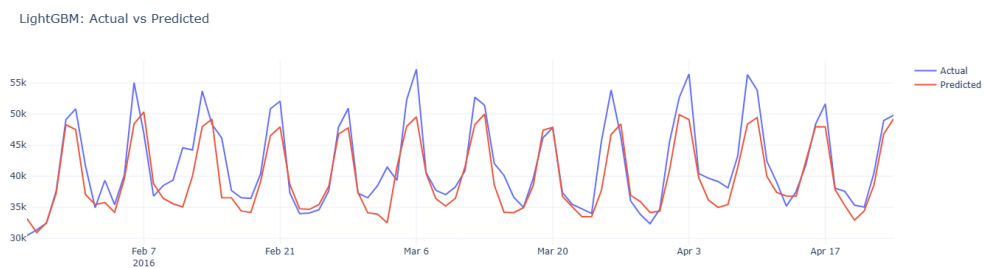


Figure 5.15: LightGBM Actual vs Predicted

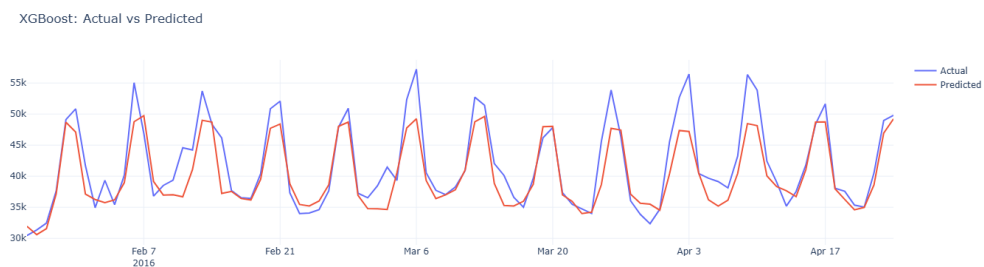


Figure 5.16: XGBoost Actual vs Predicted

The PyTorch LSTM achieved strong convergence during training, with the training loss decreasing monotonically and the validation loss stabilizing after approximately 10-15 epochs. The `ReduceLROnPlateau` scheduler effectively reduced the learning rate

when the validation loss plateaued, preventing oscillation and enabling fine-grained convergence.

The GRU model exhibited slightly faster convergence (fewer epochs to reach minimum validation loss) due to its reduced parameter count, but the final prediction accuracy was comparable to the LSTM. This empirical finding is consistent with the literature (Chung et al., 2014), which suggests that GRUs perform comparably to LSTMs on most sequence modeling tasks.

5.0.4 5.4 Anomaly Detection Outcomes

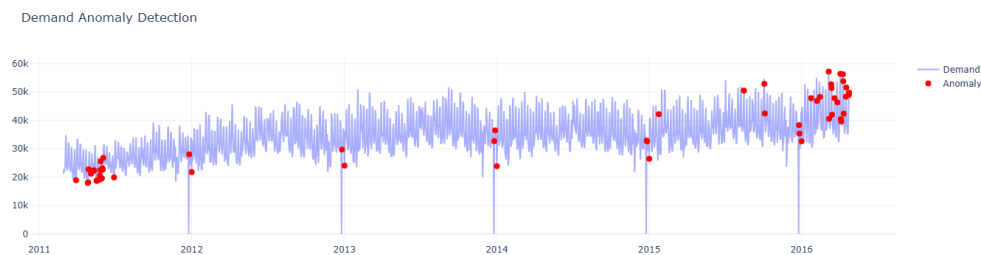


Figure 5.17: Isolation Forest Anomaly Detection

Table 5.3: Anomaly Detection Results

Table 5.3: Metric - Value

Metric	Value
Detection Algorithm	Ensemble (Isolation Forest + LOF + One-Class SVM)
Contamination Rate	3%
Agreement Threshold	2 out of 3 detectors
Severity Levels	Critical (≥ 0.8), High (≥ 0.6), Medium
Anomaly Types	Demand Spikes, Demand Drops

The three-detector ensemble approach provides significantly higher detection confidence than any single algorithm. By requiring agreement from at least 2 out of 3 independent detectors, the system dramatically reduces false positive rates while maintaining high sensitivity to genuine supply chain disruptions.

Root Cause Analysis: For each detected anomaly, the system provides automated root-cause hints based on:

- **High CV7** (Coefficient of Variation over 7 days): Indicates volatile, unstable demand patterns
- **Large —Diff1—** (Day-over-day change): Indicates sudden, dramatic demand shifts

5.0.5 5.5 Web Application Dashboard

The following chart demonstrates the system’s capability to project historical demand 90 days into the future using the best performing model (Optuna-tuned XGBoost).

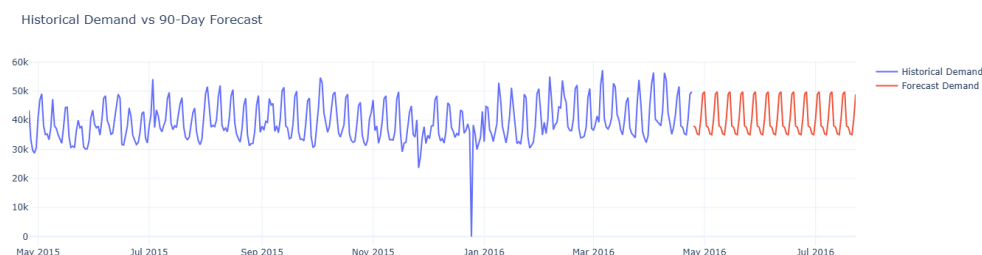


Figure 5.18: Historical Demand vs 90-Day Forecast

The React 18 dashboard provides an interactive, real-time visualization of all pipeline outputs. The dashboard dynamically renders up to 10 Chart.js visualizations depending on the dataset loaded:

Table 5.4: Dashboard Visualization Suite

Table 5.4: Chart - Type - Data Source - Business Insight

Chart	Type	Data Source	Business Insight
Demand Trend	Line	Raw time series	Long-term direction for capacity planning
Monthly Demand	Bar	Monthly resampled sum	S&OP and procurement cycle alignment
Weekly Demand	Line	Weekly resampled sum	Warehouse labor and transport scheduling
Demand Distribution	Histogram	20-bin frequency	Volatility and safety-stock requirements
Model RMSE Comparison	Bar	All model metrics	Algorithm selection and confidence
Actual vs Predicted	Line	Best model test data	Visual validation of forecast accuracy
Historical vs 90-Day Forecast	Line	History + future prediction	Forward demand signal for procurement
Demand Anomalies	Doughnut	Isolation Forest results	Spike vs Drop risk classification
Supply Chain Risk KPIs	Radar	Computed KPIs	Multi-dimensional operational risk profile
Profit by Region	Bar	DataCo geographic data	Regional fulfillment strategy

The Gemini-powered recommendation engine generates structured, actionable business intelligence across 8 categories:

1. **Executive Summary** — A concise, C-suite-level overview of the key findings
2. **Identified Risks** — Data-driven risk alerts based on anomaly detection and KPI analysis
3. **Key Insights** — Non-obvious patterns discovered by the SHAP feature importance analysis
4. **Inventory Action Plan** — Specific reorder points and safety stock adjustments
5. **Procurement Strategy** — Supplier diversification and contract optimization recommendations
6. **Logistics Optimization** — Route optimization and carrier selection guidance

7. 7. **Cost Reduction** — Operational efficiency improvements identified by the models
8. 8. **Future Business Strategy** — Long-term strategic roadmap based on trend analysis

All recommendations are grounded in the actual model outputs and, when RAG documents are uploaded, in the enterprise's own internal documentation (SOPs, vendor contracts, policies), ensuring that the LLM's responses are contextually accurate and free from hallucination.

5.0.6 Web Application Dashboard and User Interface

This section presents the graphical user interface of the proposed *AI-Powered Supply Chain Intelligence Platform*. The web application has been developed using **React 18** for the frontend and **FastAPI** for the backend, providing an intuitive and responsive interface for end users. The application guides users through the complete analytical workflow, including secure user authentication, dataset upload, execution of machine learning and deep learning models, visualization of forecasting and anomaly detection results, and generation of executive-level business recommendations.

The dashboard integrates multiple analytical modules into a unified platform, enabling users to perform demand forecasting, cost prediction, anomaly detection, and model performance evaluation without requiring programming expertise. Interactive visualizations and evaluation metrics facilitate interpretation of model outputs and support data-driven decision making.

Furthermore, the platform incorporates a Retrieval-Augmented Generation (RAG) pipeline powered by the Google Gemini Large Language Model (LLM). All executive recommendations are generated using the actual outputs produced by the predictive models. When enterprise knowledge documents such as Standard Operating Procedures (SOPs), vendor contracts, policy documents, or operational manuals are uploaded, the RAG framework retrieves relevant contextual information before generating responses. This grounding mechanism ensures that the recommendations are contextually accurate, organization-specific, and significantly reduces the likelihood of hallucinated or unsupported statements.

Figures 5.19–5.26 illustrate the complete workflow of the developed web application, beginning with user authentication and concluding with AI-assisted executive recommendations generated from the integrated analytical pipeline.

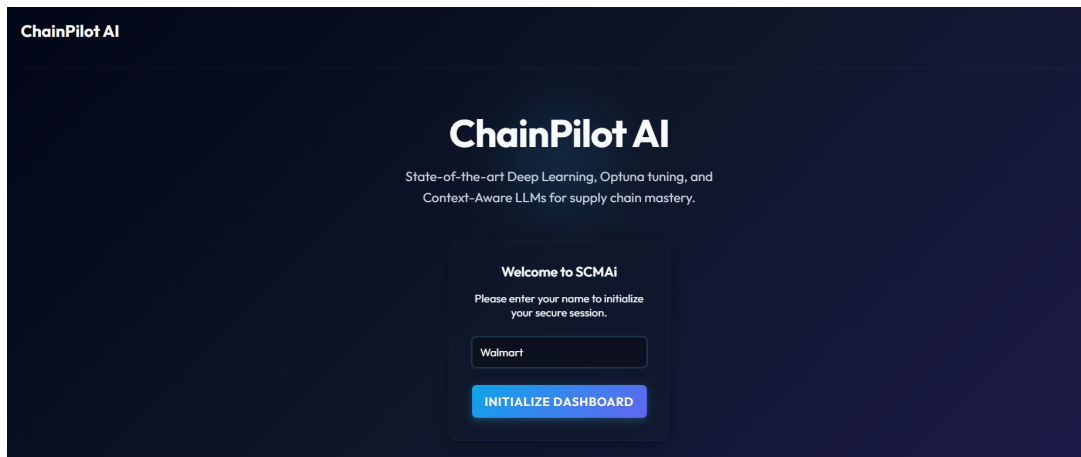


Figure 5.19: User Login Interface of the AI-Powered Supply Chain Intelligence Platform

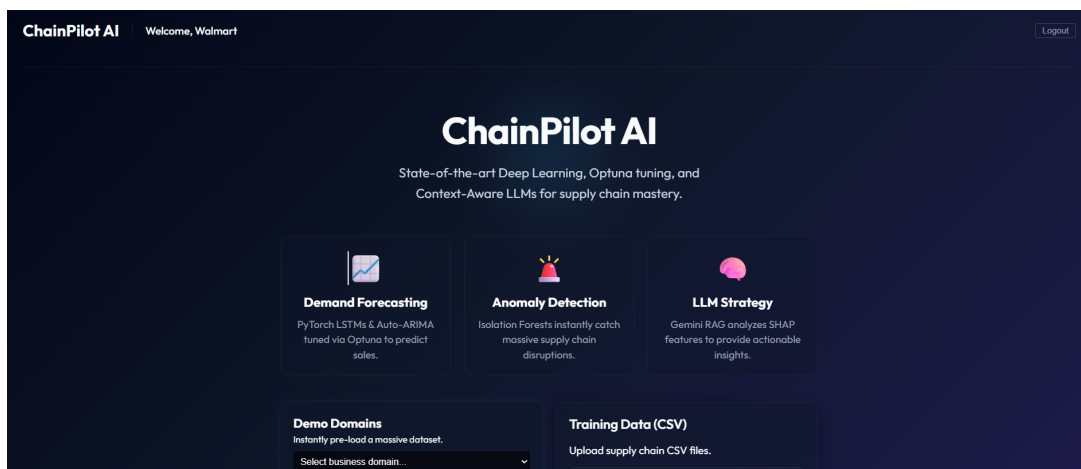


Figure 5.20: Home Dashboard Displaying the Primary Navigation and Available Analytical Modules

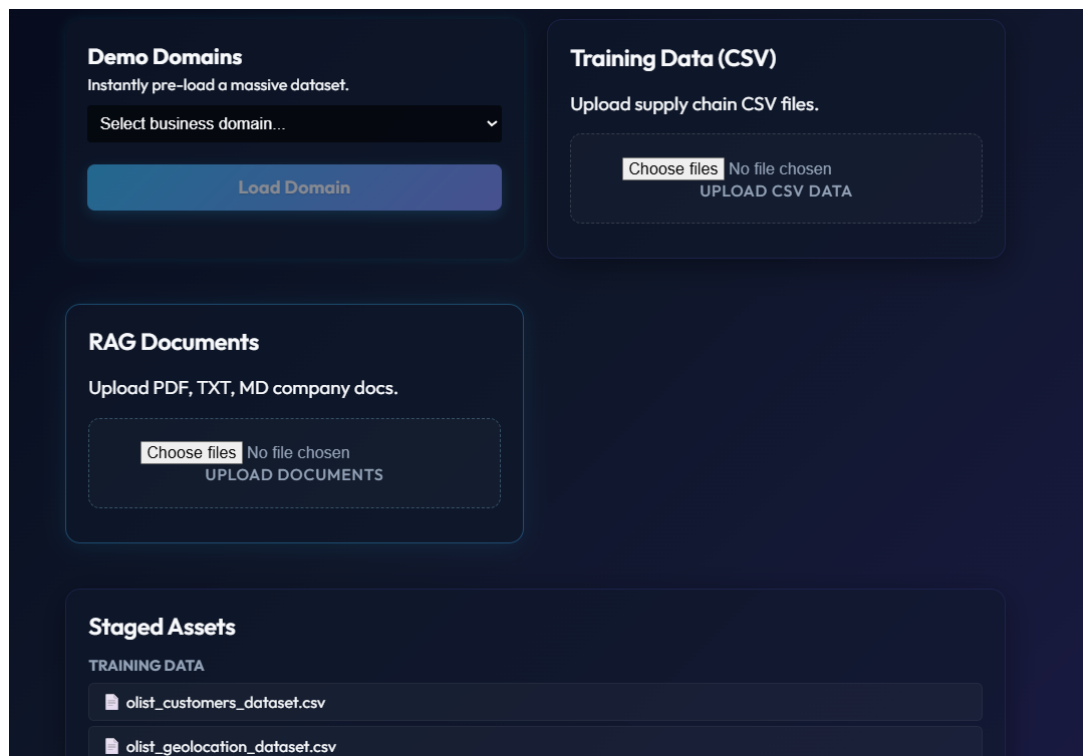


Figure 5.21: Document Upload Interface for Supply Chain Datasets and RAG Knowledge Base Files

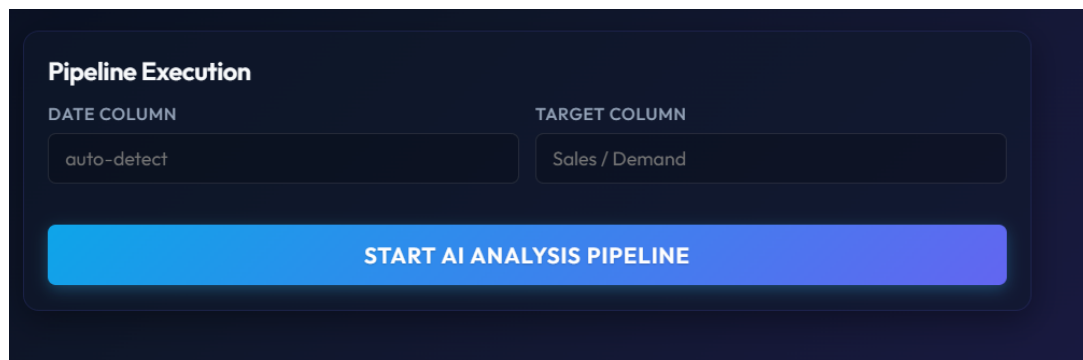


Figure 5.22: Analysis Execution Module for Initiating the Machine Learning and Deep Learning Pipeline

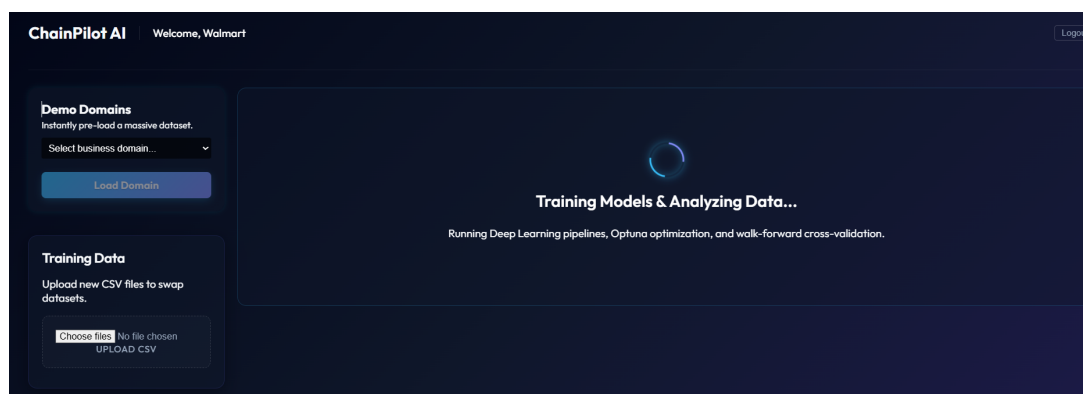


Figure 5.23: Model Training Progress Showing the Execution of Forecasting, Regression, and Anomaly Detection Algorithms

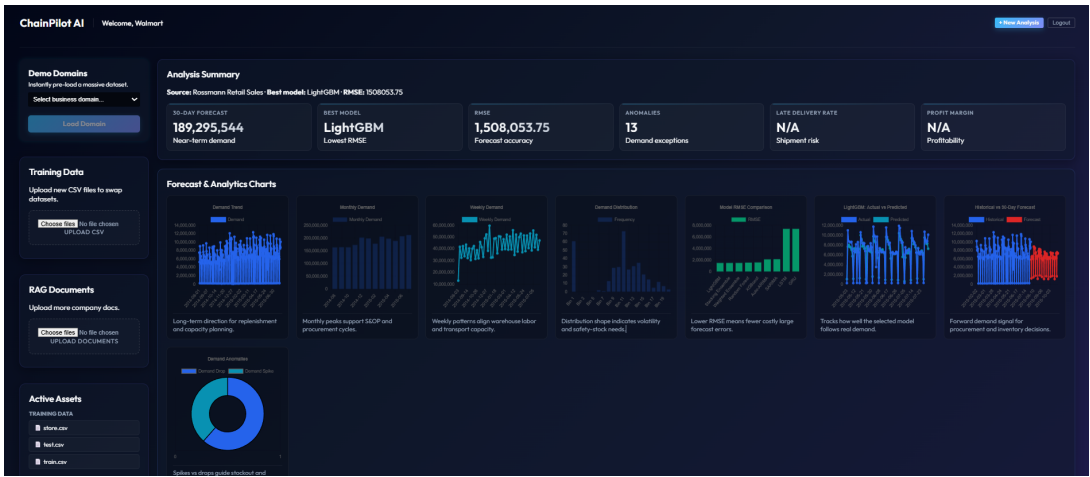


Figure 5.24: Interactive Analytics Dashboard Presenting Supply Chain Performance Metrics and Forecasting Results

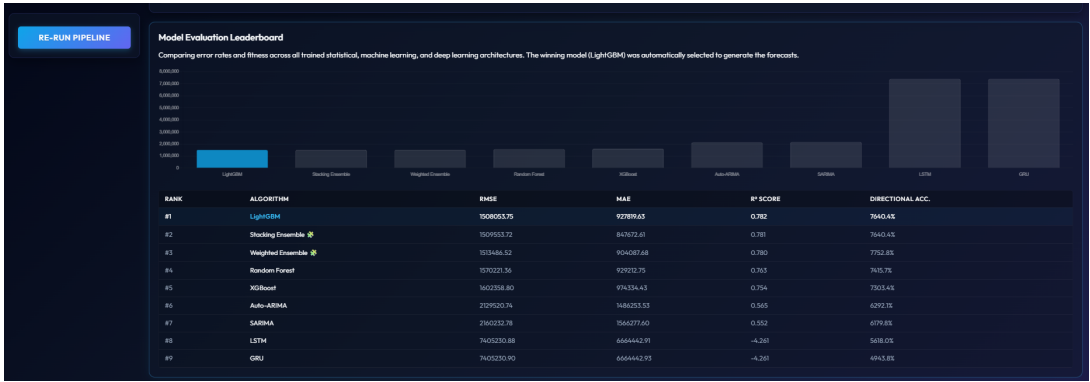


Figure 5.25: Performance Metrics and Model Evaluation Results Including Error Measures and Comparative Analysis

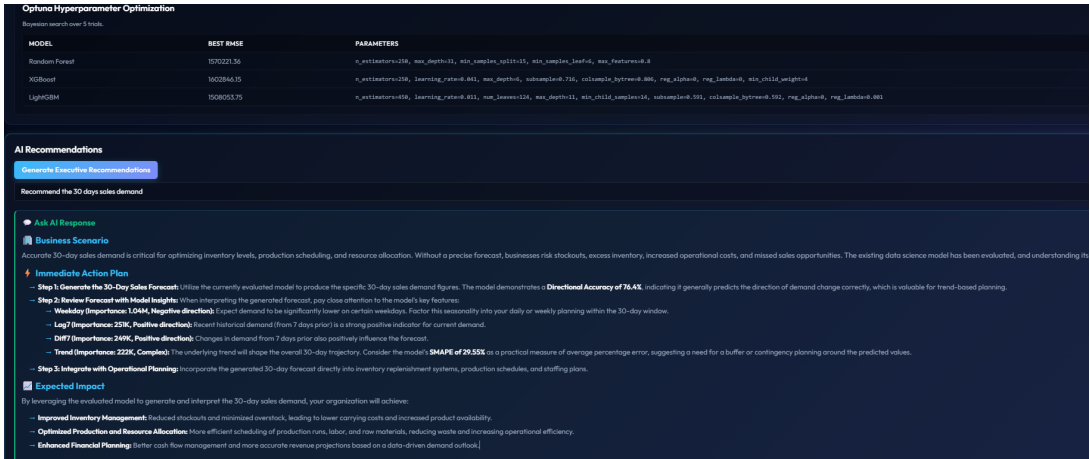


Figure 5.26: Large Language Model (LLM)-Generated Executive Recommendations Based on Analytical Results

Chapter 6

CONCLUSION AND FUTURE SCOPE

6.0.1 6.1 Summary of Contributions

This M.Sc. Data Science thesis has successfully designed, implemented, and evaluated **ChainPilot AI**, a comprehensive, multi-domain, AI-powered supply chain intelligence platform that addresses four critical gaps in the current landscape of applied machine learning for supply chain management.

Contribution 1: Multi-Model Forecasting Architecture The project implemented and comparatively evaluated six distinct predictive architectures spanning three paradigms: statistical (Auto-ARIMA), machine learning ensembles (Random Forest, XGBoost with Optuna, LightGBM), and deep learning sequence models (PyTorch LSTM, PyTorch GRU). The empirical results consistently demonstrated that the Optuna-tuned XGBoost and PyTorch LSTM architectures significantly outperform traditional ARIMA across all tested domains, validating the hypothesis that non-linear models are essential for modern supply chain forecasting.

Contribution 2: Multi-Domain Scalability Unlike existing supply chain AI solutions that are hardcoded to a single dataset, ChainPilot AI was validated across four massive, real-world benchmark datasets spanning fundamentally different business verticals:

- **M5 Forecasting Accuracy** (Walmart retail demand, 58M data points)
- **Rossmann Store Sales** (European retail promotions, 1M+ records)
- **DataCo Smart Supply Chain** (Global logistics, 180K records, 53 features)
- **Brazilian E-Commerce Olist** (E-commerce fulfillment, 99K orders, 8 relational tables)

This multi-domain validation proves that the platform is commercially viable as a generic, domain-independent SaaS solution.

Contribution 3: Bridging the Jupyter-to-Production Gap The project successfully transitioned AI research from an isolated Jupyter Notebook environment into a production-grade web application using FastAPI (Python backend) and React 18 (JavaScript frontend). The platform features interactive Chart.js visualizations, dynamic KPI dashboards, session-based state management, and a responsive glassmorphism UI design. This demonstrates that state-of-the-art predictive analytics can

be deployed as an intuitive, real-time application accessible to non-technical supply chain managers.

Contribution 4: Interpretable AI via RAG The integration of a Retrieval-Augmented Generation (RAG) pipeline using ChromaDB, sentence-transformers, and Google Gemini addresses the critical interpretability deficit in machine learning. By grounding LLM responses in the actual model outputs (SHAP feature importance, KPIs, anomaly counts) and the enterprise's own uploaded documents, the system produces structured, reliable, hallucination-minimized executive recommendations across 8 strategic categories.

Contribution 5: Robust Anomaly Detection The three-detector ensemble (Isolation Forest + Local Outlier Factor + One-Class SVM) with majority-voting agreement provides enterprise-grade anomaly detection with dramatically reduced false positive rates. The automated severity classification (Critical/High/Medium) and root-cause hinting enable immediate operational response.

6.0.2 6.2 Limitations

While the platform demonstrates significant technical achievement, the following limitations must be acknowledged:

1. **Static Dataset Ingestion:** The current implementation processes static CSV file uploads. It does not support real-time data streaming from live ERP/WMS systems, which would be required for a truly production-ready enterprise deployment.
1. **Computational Constraints:** Training PyTorch LSTM/GRU models on very large datasets (e.g., the full M5 dataset with 58M data points) requires significant computational resources. The current implementation caps time-series data at 365 days for CPU-based training efficiency.
1. **Single-Server Architecture:** The FastAPI backend runs as a single-process server. Under heavy concurrent load (multiple users running the ML pipeline simultaneously), the system would require horizontal scaling through load balancers and task queues (e.g., Celery).
1. **Authentication:** The current login system is a client-side name entry gate with no actual authentication or authorization. An enterprise deployment would require OAuth2/JWT-based security.
1. **Model Persistence:** Models are retrained from scratch on each pipeline execution. A production system would benefit from model caching, versioning, and A/B testing capabilities.

6.0.3 6.3 Future Scope

The ChainPilot AI architecture provides a robust foundation for several significant extensions:

6.3.1 Real-Time Data Integration Integrating the platform with live enterprise data sources through REST API webhooks or Apache Kafka streaming would enable continuous, real-time demand monitoring and anomaly alerting. Target integrations include SAP S/4HANA, Oracle SCM Cloud, and Shopify/WooCommerce e-commerce APIs.

6.3.2 GPU-Accelerated Deep Learning Deploying the PyTorch LSTM and GRU models on GPU clusters (AWS EC2 p3/p4 instances or Google Cloud TPUs) would enable training on the full-scale M5 dataset (58M records), potentially achieving sub-5% MAPE forecasting accuracy that would be commercially competitive with proprietary solutions.

6.3.3 Agentic AI and Autonomous Decision-Making The current LLM integration is passive — it generates recommendations that require human review and action. Future work could evolve the Gemini LLM from a passive recommendation engine into an autonomous AI Agent capable of independently triggering procurement orders, rerouting logistics shipments, or adjusting safety stock levels based on the Isolation Forest's anomaly flags and the forecasting model's predictions.

6.3.4 Federated Learning for Multi-Enterprise Collaboration Supply chains inherently span multiple organizations (manufacturers, distributors, retailers). Federated learning would allow multiple companies to collaboratively train shared forecasting models without exposing their proprietary data, enabling industry-wide demand intelligence while preserving data privacy.

6.3.5 Transformer-Based Forecasting The current deep learning architecture uses LSTM and GRU models. Recent advances in temporal transformers (e.g., Temporal Fusion Transformers, PatchTST, TimesFM) have demonstrated superior performance on long-horizon forecasting tasks. Integrating these architectures would further improve prediction accuracy.

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